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## Chroma Ate Inc. | Asia Pacific

## Up to ~3% Share Dilution from Newly Announced GDR Plan

## What's new:

- Chroma announced it would issue no more than 13.6mn common shares for GDR (up to NT\$26.7bn at the latest close of NT\$1,965).
- Proceeds from this will be for overseas operations and working capital.

## Our view:

- The share dilution is up to ~3%, a manageable extent.
- We believe this should help strength its relationship with key customers at the product development stage, which could lead to equipment orders to Chroma at the mass production stage.
- In the near term, we expect its power testing business to stay at an elevated level and the semiconductor & photonics business to continue growing HoH into 2H26, driven by SLT, metrology, CPO and potential shipment of FT handlers/burn in ovens.
- Stay OW.

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## Chroma Ate Inc. (2360.TW, 2360 TT)

## Greater China Technology Hardware | Taiwan

| Stock Rating                    | Overweight          |
|---------------------------------|---------------------|
| Industry View                   | In-Line             |
| Price target                    | NT\$2,800.00        |
| Up/downside to price target (%) | 42                  |
| Shr price, close (Aug 25, 2026) | NT\$1,965.00        |
| 52-Week Range                   | NT\$2,795.00-504.00 |
| Sh out, dil, curr (mn)          | 425                 |
| Mkt cap, curr (mn)              | US\$26,252          |
| EV, curr (mn)                   | US\$25,911          |
| Avg daily trading value (mn)    | US\$165             |

| Fiscal Year Ending           | 12/25  | 12/26e | 12/27e | 12/28e |
|------------------------------|--------|--------|--------|--------|
| EPS (NT\$)**                 | 27.49  | 43.97  | 62.77  | 74.77  |
| EPS (NT\$)§                  | 26.88  | 44.52  | 66.70  | 86.80  |
| Prior EPS (NT\$)**           | -      | -      | -      | -      |
| Revenue, net (NT\$ mn)       | 28,311 | 55,154 | 76,117 | 89,224 |
| EBITDA (NT\$ mn)             | 10,038 | 22,684 | 32,742 | 38,930 |
| ModelWare net inc (NT \$ mn) | 11,692 | 18,697 | 26,691 | 31,797 |
| P/E                          | 28.2   | 44.7   | 31.3   | 26.3   |
| P/BV                         | 10.1   | 18.8   | 14.2   | 11.5   |
| RNOA (%)                     | 49.4   | 80.3   | 95.7   | 98.3   |
| ROE (%)                      | 45.9   | 57.4   | 59.9   | 53.9   |
| EV/EBITDA                    | 31.8   | 36.1   | 24.7   | 20.5   |
| Div yld (%)                  | 1.2    | 1.0    | 1.6    | 2.3    |
| FCF yld ratio (%)**          | 2.4    | 1.8    | 2.8    | 3.6    |
| Leverage (EOP) (%)           | (33.4) | (39.0) | (46.3) | (52.8) |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\*\* = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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## Valuation Methodology and Risks

### Chroma Ate Inc. (2360.TW)

Base case, 45x 2027e P/E. We use P/E as our valuation methodology because we think it better captures Chroma's earnings growth momentum. The stock traded at an average valuation of ~19x P/E during 2014-25 with an operating profit CAGR of 20%, implying a PEG of 1.0. We think our target multiple of 45x is justified by the 61% operating profit CAGR we project for 2025-28.

#### Risks to Upside

- Better-than-expected macro conditions
- Stronger semi and photonics and power testing demand
- Margin improvement via better product mix
- Better opex control

#### Risks to Downside

- Macro slowdown
- Softer-than-expected AI capex
- Slower progress in the advanced packaging capacity expansion
- Weaker consumer electronics and automobile related demand
- Margin contraction arising from lack of revenue scale and increasing opex

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| Stock Rating<br>Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                         | Other Material Investment Services<br>Clients (MISC) |                          |
|--------------------------|-------------------|------------|----------------------------------|----------------|-------------------------|------------------------------------------------------|--------------------------|
|                          | Count             | % of Total | Count                            | % of Total IBC | % of Rating<br>Category | Count                                                | % of Total Other<br>MISC |
| Overweight/Buy           | 1529              | 42%        | 442                              | 47%            | 29%                     | 750                                                  | 43%                      |
| Equal-weight/Hold        | 1582              | 43%        | 396                              | 42%            | 25%                     | 773                                                  | 44%                      |
| Not-Rated/Hold           | 3                 | 0%         | 1                                | 0%             | 33%                     | 1                                                    | 0%                       |
| Underweight/Sell         | 560               | 15%        | 97                               | 10%            | 17%                     | 217                                                  | 12%                      |
| Total                    | 3,674             |            | 936                              |                |                         | 1741                                                 |                          |

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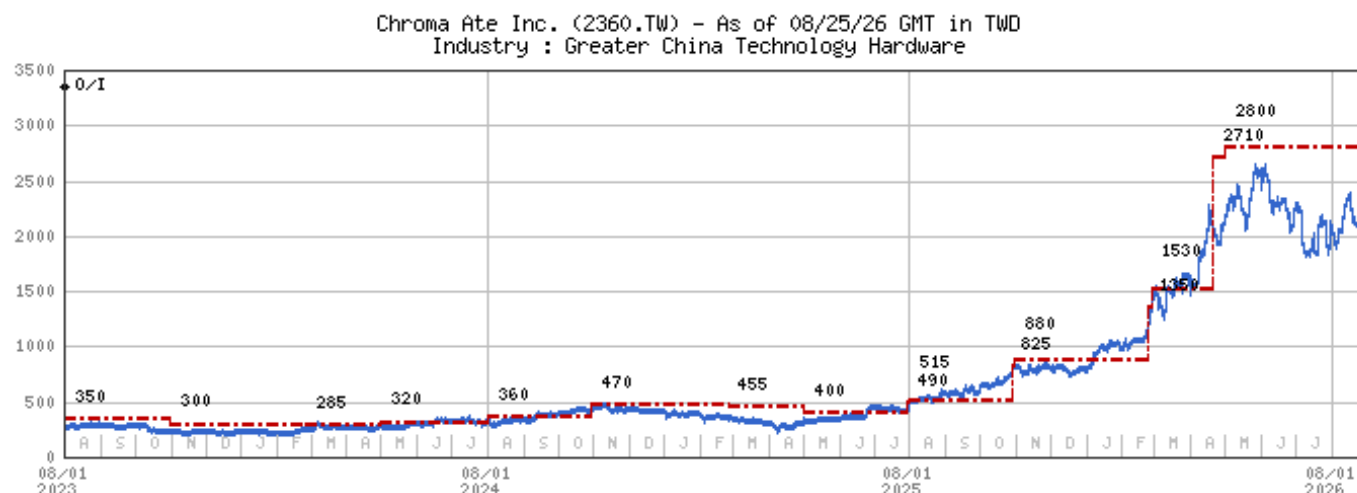
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Stock Rating History: 8/1/21 : 0/I; 10/5/21 : 0/I

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## INDUSTRY COVERAGE: Greater China Technology Hardware

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (08/25/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Andy Meng, CFA</b>                                |                |                     |
| AAC Technologies Holdings (2018.HK)                  | O (01/29/2024) | HK\$39.84           |
| Accelink Technologies Co. Ltd. (002281.SZ)           | U (05/12/2022) | Rmb167.32           |
| BYD Electronics (0285.HK)                            | O (04/28/2023) | HK\$23.02           |
| China TransInfo Technology Co Ltd (002373.SZ)        | E (07/18/2023) | Rmb7.64             |
| Dahua Technology Co. Ltd. (002236.SZ)                | E (12/12/2024) | Rmb16.18            |
| Eoptolink Technology Inc Ltd (300502.SZ)             | O (02/27/2026) | Rmb400.87           |
| Genius Electronic Optical Co. Ltd. (3406.TW)         | E (04/23/2025) | NT\$690.00          |
| GoerTek Inc (002241.SZ)                              | E (08/14/2026) | Rmb23.07            |
| Gosuncn Technology Group Co Ltd (300098.SZ)          | U (11/07/2022) | Rmb4.49             |
| HIKVision Digital Technology (002415.SZ)             | E (12/12/2024) | Rmb34.75            |
| Largan Precision (3008.TW)                           | O (07/10/2026) | NT\$5,720.00        |
| LianChuang Electronic Technology Co Ltd (002036.SZ)  | U (06/12/2024) | Rmb6.81             |
| Lingyi Itech Guangdong Co (002600.SZ)                | U (04/23/2025) | Rmb12.17            |
| Lingyi Itech Guangdong Co (1688.HK)                  | O (08/14/2026) | HK\$6.21            |
| Luxshare Precision Industry Co., Ltd. (2475.HK)      | O (08/14/2026) | HK\$59.40           |
| Luxshare Precision Industry Co., Ltd. (002475.SZ)    | O (10/24/2016) | Rmb54.86            |
| OFILM Group Co Ltd (002456.SZ)                       | U (06/12/2024) | Rmb7.16             |
| Q Technology (Group) Company Ltd (1478.HK)           | U (03/23/2026) | HK\$5.99            |
| Quectel Wireless Solutions Co Ltd (603236.SS)        | E (10/09/2024) | Rmb56.65            |
| Shanghai Conant Optical Co Ltd (2276.HK)             | O (04/10/2026) | HK\$44.96           |
| Shenzhen Transsion Holdings Co Ltd (688036.SS)       | E (03/23/2026) | Rmb59.10            |
| Sunny Optical (2382.HK)                              | E (03/23/2026) | HK\$61.10           |
| Suzhou TFC Optical Communication Co Ltd. (300394.SZ) | E (11/06/2025) | Rmb257.10           |
| Wingtech Technology Co Ltd (600745.SS)               | U (05/18/2026) | Rmb18.92            |
| Xiaomi Corp (1810.HK)                                | O (04/14/2021) | HK\$27.76           |



|                                                     |                |               |
|-----------------------------------------------------|----------------|---------------|
| Yangtze Optical Fibre and Cable JSC Ltd (601869.SS) | U (10/13/2021) | Rmb394.50     |
| Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)   | O (07/15/2026) | HK\$162.50    |
| Yongxin Optics Co Ltd (603297.SS)                   | E (11/15/2022) | Rmb105.13     |
| Zhejiang Crystal-Optech Co Ltd (002273.SZ)          | O (11/15/2022) | Rmb25.37      |
| Zhongji Innolight Co Ltd (300308.SZ)                | ++             | Rmb846.00     |
| ZTE Corporation (0763.HK)                           | O (06/04/2026) | HK\$23.60     |
| ZTE Corporation (000063.SZ)                         | E (06/04/2026) | Rmb33.42      |
| <b>Derrick Yang</b>                                 |                |               |
| Accton Technology Corporation (2345.TW)             | O (06/06/2024) | NT\$2,030.00  |
| Advantech (2395.TW)                                 | O (01/20/2021) | NT\$670.00    |
| AirTAC International (1590.TW)                      | O (04/16/2025) | NT\$1,460.00  |
| Asia Vital Components Co. Ltd. (3017.TW)            | O (07/30/2024) | NT\$2,950.00  |
| AU Optronics (2409.TW)                              | E (02/10/2026) | NT\$25.65     |
| Auras Technology Co Ltd (3324.TWO)                  | E (05/04/2023) | NT\$1,065.00  |
| Bizlink (3665.TW)                                   | O (03/10/2025) | NT\$2,075.00  |
| BOE Technology (000725.SZ)                          | O (09/06/2019) | Rmb5.74       |
| Chenbro (8210.TW)                                   | O (07/23/2025) | NT\$965.00    |
| Chroma Ate Inc. (2360.TW)                           | O (10/05/2021) | NT\$1,965.00  |
| Delta Electronics Inc. (2308.TW)                    | O (07/13/2017) | NT\$1,710.00  |
| E Ink Holdings Inc. (8069.TWO)                      | E (08/10/2026) | NT\$158.50    |
| Ennostar Inc (3714.TW)                              | U (09/23/2022) | NT\$59.60     |
| Fositek Corp (6805.TW)                              | O (06/25/2025) | NT\$1,845.00  |
| Hiwin Technologies Corp. (2049.TW)                  | O (03/30/2026) | NT\$345.50    |
| Innolux (3481.TW)                                   | E (04/07/2025) | NT\$46.80     |
| King Slide Works Co. Ltd. (2059.TW)                 | O (11/08/2023) | NT\$14,285.00 |
| Lens Technology (300433.SZ)                         | E (07/22/2020) | Rmb37.90      |
| Lite-On Technology (2301.TW)                        | E (01/15/2025) | NT\$296.00    |
| TCL Corp. (000100.SZ)                               | E (04/07/2025) | Rmb4.91       |
| Tianma Microelectronics (000050.SZ)                 | U (01/24/2018) | Rmb6.54       |
| Wuhan Jingce Electronic Group Co Ltd (300567.SZ)    | E (11/26/2021) | Rmb206.28     |
| <b>Howard Kao</b>                                   |                |               |
| Acer Inc. (2353.TW)                                 | U (04/23/2025) | NT\$31.05     |
| Asustek Computer Inc. (2357.TW)                     | U (11/16/2025) | NT\$925.00    |
| Catcher Technology (2474.TW)                        | U (11/17/2025) | NT\$204.50    |
| Compal Electronics (2324.TW)                        | U (04/23/2025) | NT\$40.80     |
| FIT Hon Teng Ltd (6088.HK)                          | O (11/03/2025) | HK\$4.97      |
| Foxconn Industrial Internet Co. Ltd. (601138.SS)    | O (07/10/2019) | Rmb60.15      |
| Giga-Byte Technology Co. Ltd. (2376.TW)             | E (11/16/2025) | NT\$347.50    |
| Gold Circuit Electronics Ltd. (2368.TW)             | O (10/06/2022) | NT\$971.00    |
| Hon Hai Precision (2317.TW)                         | O (03/15/2024) | NT\$243.00    |
| Inspur Electronic Information (000977.SZ)           | E (08/28/2023) | Rmb74.11      |
| LandMark Optoelectronics Corporation (3081.TWO)     | E (03/26/2026) | NT\$2,960.00  |
| Lenovo (0992.HK)                                    | O (07/10/2026) | HK\$30.80     |
| Lotes Co. Ltd. (3533.TW)                            | E (05/12/2025) | NT\$1,605.00  |
| Nan Ya PCB (8046.TW)                                | O (02/23/2026) | NT\$1,160.00  |
| Pegatron Corporation (4938.TW)                      | E (03/25/2026) | NT\$88.80     |
| Quanta Computer Inc. (2382.TW)                      | O (05/01/2023) | NT\$328.50    |
| Shengyi Technology Co Ltd. (600183.SS)              | E (05/26/2022) | Rmb129.00     |
| Shennan Circuits Co Ltd (002916.SZ)                 | E (08/24/2023) | Rmb341.00     |
| Unimicron (3037.TW)                                 | O (02/23/2026) | NT\$1,095.00  |
| Visual Photonics Epitaxy Co Ltd (2455.TW)           | E (09/11/2023) | NT\$419.50    |
| Wistron Corporation (3231.TW)                       | O (07/12/2023) | NT\$178.50    |
| Wiwynn Corp (6669.TW)                               | O (11/10/2025) | NT\$6,440.00  |
| Yageo Corp. (2327.TW)                               | O (10/28/2025) | NT\$544.00    |
| Zhen Ding (4958.TW)                                 | ++             | NT\$444.00    |



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